NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 25.07.2022 AT 02.30 PM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No.3/230/AMR/2022		230	People Combine Amenities Private Limited (Transferor Company) People Combine Infrstructures Private Limited (Transferee Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.3/230/AMR/2022 is allowed, vide separate orders.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.03/230/AMR/2022
Connected with
CA (CAA) No.09/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **PEOPLE COMBINE AMENITIES PRIVATE LIMITED**, the Transferor Company (having its registered office in Andhra Pradesh) by **PEOPLE COMBINE INFRASTRUCTURES PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

In the matter of

M/s. People Combine Amenities Private Limited,
D.No.8-1-97/1/8, Level-4, Block –B,
Ninitaas High's, Pedawaltair,
Visakhapatnam -530017.

... Petitioner/Applicant/Transferor Company

AND

M/s. People Combine Infrastructures Private Limited,
D.No.8-1-97/1/8, Level-4, Block –B,
Ninitaas High's, Pedawaltair,
Visakhapatnam -530017

... Petitioner/Applicant/Transferee Company

Date of pronouncement of order: 25.07.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

S.d/-

Appearance:

For the Petitioners: Mr. K.C.V.Reddy, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. People Combine Amenities Private Limited (Transferor Company) and M/s. People Combine Infrastructures Private Limited (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Company for Scheme of Amalgamation (the Scheme for short) with the Transferee Company. Both the Transferor Company and Transferee Company registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Transferor Company as on 31.03.2021 is Rs.4,26,00,000/- divided into 42,60,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.4,25,01,530/- divided into 42,50,153 equity shares of Rs.10/- each. The main objects of Transferor Company are to carry on the business of creating infrastructure, develop/purchase/sell created infrastructure,

develop landed property, develop SEZ, BOT projects, high-rise constructions, carryon real estate activities, contractors & other allied activities.

ii. The Authorised Share Capital of the Transferee Company as on 31.03.2021 is Rs.4,50,00,000/- divided into 45,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.4,33,01,110/- divided into 43,30,111equity shares of Rs.10/- each. The main objects of Transferee Company are to carry on construction activities, build, acquire, convert, improve design, erect, establish, equip, develop, furnish, etc.

iii. The Transferor Company is a subsidiary company of the Transferee Company and both the companies are closely held companies and are under the same management. The entire shareholding in both these companies is directly or indirectly held by the common set of shareholders and on the basis of extensive discussions, meetings and consultations between the members of the Board of Directors of the companies and other professionals, it has been decided to take appropriate steps to carry on effectively and efficiently the business of both the Petitioner Companies under one roof, by amalgamation of both the Companies in the larger interest of the shareholders, creditors and employees, etc. In order to have a better, efficient and economical

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management control and running of the business undertakings for administrative convenience and to have economies of large scale operation, it has been proposed to amalgamate both the Companies and further there will be a reduction in administrative costs and it would also result in reduction of overheads and redundancies would also be eliminated. The Board of Directors of Petitioner Companies, at their respective meetings held on 07.07.2021, have resolved to merge both the Companies pursuant to a scheme of amalgamation and arrangement between the Transferor and Transferee Companies.

iv. The Board of Directors of the Petitioner Companies approved their scheme at their respective board meetings held on 07.07.2021. The appointment date is 01.04.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Trade Creditors and Un-Secured Creditors of the Petitioner Companies.

v. The Tribunal by order dated 09.11.2021 dispensed with the requirement of holding meetings of all Equity Shareholders, Trade Creditors & Unsecured Creditors of the Petitioner Companies. The scheme of arrangement was approved by the board of directors and others.

S.d/-

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 13.07.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **13.07.2022**
1	The Directorate has received letter dated 29.03.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior	Undertaking regarding preservation of books, statutory compliance and authorised share capital of the Transferee Company given by the Petitioner Companies: a. To preserve the books of accounts, papers and records of both the Petitioner Companies and not to dispose of them without the prior permission of the

S.d/-

	permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	Central Government in terms of Section 239 of the Companies Act, 2013.
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	b. To ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liabilities in any manner.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme	c. To file confirmation of the scheme of amalgamation in Form INC-28 with the RoC, AP within the specified time period. d. To file an application with the RoC, AP

S.d/-

	to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Companies.	indicating the revised authorised capital and proof of paying prescribed fees due on revised after setting off the fee already paid by the Transferor Company 2. They have duly served a copy of the Petition on the Income Tax Department more than 30 days prior to the given date, the proof of the same is also filed and no comments or objections have been received in this regard.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on	

S.d/-

	revised capital after setting of that fee already paid by Transferor Company.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to confirm with regard to service of petition on Income Tax Department and comments/objections if any received to be filed before this Tribunal.	
3	Further the Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to clarify with regard to the allotment so made after the appointed date the basis on which such allotment was made especially to only two	

S.d/-

	shareholders out of three shareholders.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Company has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator filed on 19.04.2022	Response of the Petitioners Companies filed on 13.07.2022
1	Clause 1.10 of Section –I of the Scheme dealing with "Record Date" leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Directors of Transferee Company alone without the involvement of Transferor Company. This Hon'ble Tribunal may be pleased to direct the Transferee Company to submit an undertaking to this Hon'ble Tribunal to the effect that the Record date would be decided and fixed mutually by the Board of	Undertaking given by the Petitioner companies: 1. The effect that the "Record Date" would be decided and fixed mutually by the Board of Directors of Petitioner Companies immediately after sanction of the Scheme and before dissolution of the Transferor Company on effective date.

S.d/-

	Directors of Transferor and Transferee Companies immediately after sanction of the Scheme and before dissolution of the Transferor Company on effective date.	2. There would be no retrenchment of any employee who were in service as on Appointed Date.
2	Clause 7.1 of Section-III of the Scheme seeks to protect the staff, workmen and other employees of the Transferor Company, if any, if they are in service as on the Effective Date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking (on an Affidavit duly notarized) to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date as well.	
3	Clause 13 of Section-V of the Scheme is silent on any specific	

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	accounting treatment for the merger of Assets & Liabilities of Transferor Company.	
4	The Transferor and Transferee Companies are closely held having mostly common shareholders.	
5	There are no proceedings pending under the provisions of the Companies Act, 2013 against the Petitioner Company as per the information provided by them on 28.03.2022.	
6	As per Annexure 1 (v) to the Independent Auditors' Report date 13.07.2021 of the Transferor Company, the Transferor Company has not accepted any deposits during the year.	

6. Finally the Official Liquidator (OL) did not raise any objections against accepting the Scheme of Amalgamation of the Petitioners Companies.

S.d/-

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.309 to 347 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any

S.d/-

applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

S.d/-

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.3/230/AMR/2022 stands disposed of.

S-d/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu